

Document 2: S2 — Stock-Level OB & Demand/Supply Zone

Overview

- Code: S2
- Tier: 2 (Core Rule)
- Role: Identifies and scores Order Blocks (OB) and Demand/Supply zones at the stock level
- Max Score: 12
- Status:  Approved
- Precedence: Core scoring — evaluated after Tier 1 gates pass

A Component A — OB Quality (Max: 7)

C1: Timeframe Weight (Max 2)

- Monthly OB = 2 pts
- Weekly OB = 1 pt
- Daily OB = 0 pts
- ★ Logic: Monthly OBs are far more reliable than Weekly/Daily. Higher TF = stronger institutional footprint

C2: Displacement Strength (Max 2)

- Strong displacement (3%+ move away from OB) = 2 pts
- Moderate displacement (1–3%) = 1 pt
- Weak displacement (<1%) = 0 pts
- ★ Logic: The displacement after OB defines how strong the institutional intent was. Stronger move = more

C3: OB Freshness (Max 2)

- First touch (unmitigated) = 2 pts
- Second touch = 1 pt
- Third+ touch = 0 pts (mitigated — ignore)
- 📌 *Logic: Fresh OBs hold better. Each retest weakens the zone as orders get filled*

C4: Nesting / MTF Confluence (Max 1)

- Monthly + Weekly nested OB = 1 pt
- Single timeframe only = 0 pts
- 📌 *Logic: Nested zones (e.g., Nifty 22,200 Monthly+Weekly demand) are highest conviction sniper entries*

B Component B — Price Action Confirmation (Max: 5)

C5: Rejection Candle at OB (Max 2)

- Strong rejection wick (hammer / shooting star) = 2 pts
- Moderate rejection = 1 pt
- No rejection = 0 pts
- ✖ *Logic: Price action at the zone confirms institutional defense of the level*

C6: Candle Close Confirmation (Max 2)

- Close above demand / below supply with full body = 2 pts
- Close inside OB zone = 1 pt
- Close against OB direction = 0 pts
- ✖ *Logic: Where the candle closes matters more than the wick. Body close = commitment*

C7: Volume Confirmation at OB (Max 1)

- Above-average volume at OB touch = 1 pt
- Below-average volume = 0 pts
-  *Logic: Volume confirms participation. Low volume touch = weak defense*



Scoring Summary

Component A (OB Quality):

C1 Timeframe Weight	→ Max 2
C2 Displacement	→ Max 2
C3 Freshness	→ Max 2
C4 Nesting	→ Max 1

Subtotal A	→ Max 7
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Component B (Price Action):

C5 Rejection Candle	→ Max 2
C6 Candle Close	→ Max 2
C7 Volume at OB	→ Max 1

Subtotal B	→ Max 5
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TOTAL S2 SCORE	→ Max 12
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Grading Tiers

- A+ (10–12): Highest conviction OB setup
- A (7–9): Strong setup, trade with confidence
- B (4–6): Moderate — needs Tier 3 enhancement support
- C (1–3): Weak — likely skip unless other signals are exceptional
- No Trade (≤ 0): Do not trade



Key Rules & Interactions

1. Monthly > Weekly > Daily

- Monthly OBs carry the most weight
- Always check higher TF OB first

2. Nesting = Sniper Entry

- When Monthly + Weekly OB overlap (e.g., Nifty 22,200 zone), it's the highest conviction entry

3. Displacement defines quality

- An OB without strong displacement is just a candle, not an institutional footprint

4. Freshness decays

- Each retest fills pending orders
- Third touch or more = zone is spent



5. Price Action is mandatory confirmation

- OB alone is not enough
- Need rejection + close + volume to confirm

6. Interaction with S5 (BOS/CHoCH)

- S2 score becomes critical when S5 = 1–3 (soft gate)
- Strong S2 + strong S4 can compensate for weak S5

7. Interaction with S3 (FVG)

- FVG near OB = reliable (approved S3 rule)
- Standalone FVG without OB context is weaker

Cross-References

- S3 uses S2's OB zone for FVG-OB confluence scoring
- S4 checks if liquidity was swept near S2's OB zone
- S5 BOS/CHoCH after OB touch = structural confirmation
- S6 volume/delivery at OB touch validates institutional presence

💡 Real Example (From Your Watchlist)

Nifty 22,200 Zone:

- C1: Monthly OB = 2 ✅
- C4: Monthly + Weekly nested = 1 ✅
- This zone starts with 3/12 before even checking displacement, freshness, or price action
- This is why you identified it as "highest conviction sniper entry"

BHEL ₹350–358 April OB:

- Weekly OB = C1 score of 1
- First touch (if unmitigated) = C3 score of 2
- Needs displacement + price action for full scoring